CASCADIA ANALYTICS

Centrus Energy Corp.

Equity Research Note | LEU | 21 OCTOBER 2026

Only US HALEU Producer

Centrus Energy screens as a Buy with a $138.85 blended target, 26% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$109.88	$138.85	+26%	BUY

Investment Thesis

Only US HALEU Producer. Centrus runs the only NRC-licensed HALEU production in the US, backed by a $900M DOE award [Q2 PR]. Three of four advanced reactors reaching criticality ran on its fuel [Q2 call]. That is a genuine chokepoint in the SMR supply chain. Contracted Growth. $4.5B backlog through 2040 with definitive deals from X-energy, Radiant, and Antares Nuclear that include customer prepayments [8-Ks]. Demand is contracted; the job now is building the cascades to deliver it. Pessimism Priced In. At $109.88

- Only US HALEU Producer
- Contracted Growth
- Pessimism Priced In

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The latest print

Contracted Growth. $4.5B backlog through 2040 with definitive deals from X-energy, Radiant, and Antares Nuclear that include customer prepayments. Demand is contracted; the job now is building the cascades to deliver it.

Pessimism Priced In. At $109.88, the market implies a 1% revenue CAGR, below our 5% bear case. DCF base $135.84 implies 24% upside. The stock is down 53% YTD mostly on dilution fears, not demand loss.

$176.1M	$49.9M	$16.8M	$1.77	$4.5B	$450–500M
REVENUE (Q2 2026)	GROSS PROFIT (Q2)	NET INCOME (Q2)	ADJ EPS (Q2)	BACKLOG (THRU 2040)	FY2026 REVENUE GUIDE

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 2026)	$176.1M	+14.0%	Up
Gross Profit (Q2)	$49.9M	n/a	Up
Net Income (Q2)	$16.8M	-41.9%	Down
Adj EPS (Q2)	$1.77	-6.8%	Down
Backlog (thru 2040)	$4.5B	n/a	Up
FY2026 Revenue Guide	$450-500M	~+5%	Flat
FY2026 Capex Guide	$350-500M	n/a	Up

The moat

$900M DOE HALEU task order signed July 2026, funding 12 MT/year of capacity

The growth engine

Definitive HALEU supply deals with X-energy, Radiant, Antares Nuclear, all with customer prepayments

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	$577M	31.6%	**$93.32**	-15%
Base	50%	12.0%	$747M	36.4%	**$135.84**	+24%
Bull	25%	18.0%	$921M	41.7%	**$190.41**	+73%

Bear: downside case at $93.32 (-15%).

Base: central case at $135.84 (+24%).

Bull: upside case at $190.41 (+73%).

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The probability-blended target implies 26% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +26% from the $109.88 reference price.

$138.85
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$475M**
Valuation horizon	**2026-2030**
Live WACC	**8.22%**
Terminal growth	**2.5%**
Net cash	**$700M**
2030 FCF (Base)	**$170M**
10-year Treasury yield	**5.1%**
Beta	**1.39**
Equity risk premium	**3.4%**

BUY | $138.85 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is -1.1%. below Bear case (5%) — pessimistic

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$1.1B	$88.14	+10%	$2.2B	$145.93	+30%	$4.2B	$243.36
-9%	$1.1B	$90.29	+11%	$2.3B	$149.74	+31%	$4.3B	$249.54
-8%	$1.1B	$92.52	+12%	$2.4B	$153.66	+32%	$4.4B	$255.85
-7%	$1.2B	$94.81	+13%	$2.4B	$157.67	+33%	$4.5B	$262.31
-6%	$1.2B	$97.17	+14%	$2.5B	$161.79	+34%	$4.7B	$268.91
-5%	$1.3B	$99.61	+15%	$2.6B	$166.02	+35%	$4.8B	$275.65
-4%	$1.3B	$102.12	+16%	$2.7B	$170.35	+36%	$4.9B	$282.55
-3%	$1.4B	$104.71	+17%	$2.8B	$174.79	+37%	$5.1B	$289.59
-2%	$1.4B	$107.37	+18%	$2.9B	$179.35	+38%	$5.2B	$296.78
-1%	**$1.5B**	**$110.11**	+19%	$3.0B	$184.01	+39%	$5.4B	$304.13
+0%	$1.6B	$112.94	+20%	$3.1B	$188.79	+40%	$5.5B	$311.63
+1%	$1.6B	$115.84	+21%	$3.2B	$193.69	+41%	$5.7B	$319.29
+2%	$1.7B	$118.83	+22%	$3.3B	$198.71	+42%	$5.8B	$327.11
+3%	$1.7B	$121.90	+23%	$3.4B	$203.85	+43%	$6.0B	$335.10
+4%	$1.8B	$125.06	+24%	$3.5B	$209.11	+44%	$6.1B	$343.25
+5%	$1.9B	$128.31	+25%	$3.6B	$214.49	+45%	$6.3B	$351.56
+6%	$1.9B	$131.64	+26%	$3.7B	$220.01	+46%	$6.5B	$360.05
+7%	$2.0B	$135.07	+27%	$3.8B	$225.65	+47%	$6.7B	$368.71
+8%	$2.1B	$138.60	+28%	$3.9B	$231.42	+48%	$6.8B	$377.54
+9%	$2.1B	$142.21	+29%	$4.0B	$237.32			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$1.16B	—	2.5%	$700M	$1.86B	**$93.32**
Base	$2.01B	—	2.5%	$700M	$2.71B	**$135.84**
Bull	$3.10B	—	2.5%	$700M	$3.80B	**$190.41**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$93.32	$100.99	$125.59	$139.43	$148.90	$156.07
Base	$135.84	$147.01	$174.41	$191.43	$203.71	$212.96
Bull	$190.41	$206.06	$237.24	$258.32	$274.23	$286.27

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $138.85 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Centrus Energy Corp. valuation framework

The franchise deep dive

$900M DOE HALEU task order signed July 2026, funding 12 MT/year of capacity

Definitive HALEU supply deals with X-energy, Radiant, Antares Nuclear, all with customer prepayments

Only NRC-licensed US HALEU producer; 3 of 4 advanced reactors hitting criticality ran on its fuel

$4.5B backlog through 2040 ($3.7B LEU, $0.8B Technical Solutions)

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	TTM
Revenue	$293.8M	$320.2M	$442.0M	$448.7M	$473.9M
Net Margin	17.8%	26.4%	16.6%	17.3%	10.2%
Free Cash Flow	$19.9M	$7.5M	$32.9M	$31.3M	n/a

Valuation cross-check

P/E (TTM) 29.2x

DCF Base $135.84

PEG 2.87

DCF implies 24% upside but 29x P/E is full for lumpy, government-tied earnings.

Uranium peer multiples not sourced

Scored neutral pending peer data.

52wk high $464.25

YTD -53%

Trading far below historical levels; the market prices below our bear case.

What to monitor

Nov 4, 2026. Q3 2026 Earnings (Two-Sided): EPS est $0.01, revenue est $65.3M. Quarterly revenue is lumpy; the number to watch is backlog conversion.

End 2026. Oak Ridge Milestone (Positive): First new centrifuge completion at Oak Ridge, TN. De-risks the capacity build-out.

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2027-2030. HALEU Commercial Ramp (Positive): X-energy, Radiant, Antares contracts with customer prepayments start delivering toward 2030.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$294M	$118M	$60M	$78M
2023	$320M	$112M	$52M	$93M
2024	$442M	$112M	$48M	$86M
2025	$449M	$118M	$50M	$110M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$706M	$780M	$-74M	$180M
2023	$796M	$764M	$32M	$201M
2024	$1.1B	$932M	$161M	$671M
2025	$2.4B	$1.7B	$765M	$2.0B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$21M	$-700,000.00	$-4M	$20M
2023	$9M	$-2M	$14M	$8M
2024	$37M	$-4M	$437M	$33M
2025	$51M	$-20M	$1.2B	$31M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $138.85 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 20 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 1.03% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $62.3K of sales, a net flow of -$62.3K. One-year total shareholder return is -65.1% against CEO total pay of $1.90M (Mr. Amir V. Vexler), which the model scores as SUB-OPTIMAL ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	1.03% of shares held by insiders
Form 4 Flow (Conviction Flow)	0 / 30	Buys $0 (0) vs sales $62.3K (1), net -$62.3K, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -65.1%; Mr. Amir V. Vexler, President, CEO & Director, total pay $1.90M
Agency Risk Score	**20 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-05-11	Tinelli Todd M	Chief Financial Officer	SELL	306	$62.3K

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SEC proxy audit, DEF 14A filed 2026-04-24

Alignment grade A. TOTAL PAY DECLINE (-38.7%). Amir V. Vexler, fiscal 2025 vs fiscal 2024; total compensation change year on year: -38.7%.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
$810,000	$269,996	$980,100	$114,261

CEO reported compensation dropped 38.7% primarily because 2024 included a sizable sign-on equity grant of 20,000 RSUs alongside lower annual incentive payouts in 2025. Meanwhile, Centrus demonstrated explosive TSR performance (increasing from 288 to 1,050 on a $100 basis), driving Compensation Actually Paid up to $6.87M. Compensation shows disciplined grant-date discipline with high equity leverage tightly aligned to shareholder value creation.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1065059/000162828026027241/leu-20260424.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Dilution and Capital Intensity

~$500M equity and warrant offering in September 2026 diluted holders; FY2026 capex guide of $350-500M and negative model FCF through 2027 mean more funding needs are possible.

Government Funding Dependence

The HALEU cascade work is government-funded; DOE chose not to extend the existing cascade contract. Awards and prepayments depend on federal budgets and policy priorities.

Contingent Backlog

About $3.0B of the $4.5B backlog is contingent LEU and HALEU sales tied to the Piketon expansion ($2.4B definitized). Delays in the build-out push contracted revenue further out.

Lumpy Revenue

Q1 2026 revenue was $76.7M vs Q2 at $176.1M. Shipment timing drives big swings, so any single quarter can miss badly and earnings are hard to model.

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The strengths

Operating Quality

Genuine chokepoint asset: the only NRC-licensed US HALEU producer with a $900M DOE award. But economics are lumpy and thin: quarterly revenue swings 2x between quarters, net margins 10-17%, FCF margins single digits, and heavy capex ahead.

Recent Trend

Stock down 53% YTD and 70% over 1 year, below the 200-day average (Strong Sell on daily MAs). Q2 beat on revenue and adj EPS but the stock fell on the $500M equity raise. Revenue growth is real but buried under dilution.

Forward Growth

$4.5B backlog through 2040, DOE awards, and prepayment-funded HALEU deals give visible demand. But $3.0B of backlog is contingent on the Piketon expansion, and analyst estimates see revenue roughly flat through 2029. Growth is contracted, n

Valuation

DCF base $135.84 implies 24% upside; the market prices a 1% CAGR, below our 5% bear case, so pessimism is priced in. But 29x TTM P/E is not cheap for lumpy government-dependent earnings, and dilution risk lingers.

Cascadia scorecard

Composite score 55: Fair. Confidence Medium, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Genuine chokepoint asset: the only NRC-licensed US HALEU producer with a $900M DOE award. But economics are lumpy and thin: quarterly revenue swings 2x between quarters, net margins 10-17%, FCF margins single digits, and heavy capex ahead.	55
Recent Trend	Stock down 53% YTD and 70% over 1 year, below the 200-day average (Strong Sell on daily MAs). Q2 beat on revenue and adj EPS but the stock fell on the $500M equity raise. Revenue growth is real but buried under dilution.	40
Forward Growth	$4.5B backlog through 2040, DOE awards, and prepayment-funded HALEU deals give visible demand. But $3.0B of backlog is contingent on the Piketon expansion, and analyst estimates see revenue roughly flat through 2029. Growth is contracted, not yet delivered.	62
Valuation	DCF base $135.84 implies 24% upside; the market prices a 1% CAGR, below our 5% bear case, so pessimism is priced in. But 29x TTM P/E is not cheap for lumpy government-dependent earnings, and dilution risk lingers.	58
Catalysts & Risk	Q3 earnings Nov 4 and the year-end Oak Ridge centrifuge milestone are near-term positives. HALEU prepayments fund the build without debt. Offset: dilution overhang from the September raise, DOE funding dependence, and contingent-backlog execution risk. Balanced, slightly positive.	62

Investment view

Q3 earnings on Nov 4 and the year-end Oak Ridge centrifuge completion are the near-term swing factors. A funded, on-schedule HALEU ramp would push toward the bull case ($190.41); further equity raises or DOE funding cuts would test the bear ($93.32).

Investment view: Buy. The $138.85 blended target implies +26%, balancing the $93.32 / $135.84 / $190.41 Bear / Base / Bull outcomes.

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